Revision Date:
01/01/2026

Background:
Unhoused households (HHs) who are not receiving free shelter throughout the month may be entitled to the homeless shelter deduction or may claim actual shelter expenses when determining CalFresh eligibility.

Purpose:
This section details the shelter expenses unhoused HHs may incur and to which deductions they may be entitled. This section is being revised to provide updated guidance to align with the policy changes regarding State Utility Assistance Subsidy (SUAS).

Policy:
Shelter expenses that may be incurred by an unhoused HH include but are not limited to:

- Hotel and motel expenses.
- Fees required to stay at a homeless shelter.
- Vehicle expenses, if living in a vehicle.

Note: Evaluate the shelter expenses incurred and allow the deduction that is most beneficial to the HH.

1. Homeless Shelter Deduction

Unhoused HHs that do not receive free shelter for the entire month, may receive the homeless shelter deduction. Refer to Section 63-1101 for the current homeless shelter deduction amount. If the unhoused HH does not incur nor anticipate any shelter expenses, then they are not eligible to the homeless shelter deduction.

For HHs eligible to the deduction, determine whether the HH would receive a higher benefit by applying the homeless shelter deduction or by allowing the SUAS (if the HH meets the criteria), which allows the HH to claim the Standard Utility Allowance (SUA) deduction. HHs may not receive the homeless shelter deduction and a utility allowance simultaneously. Unhoused HHs may claim actual shelter expenses instead of the homeless shelter deduction when actual expenses would entitle the HH to more benefits. When actual shelter expenses are used, the HH may also be eligible to receive the corresponding utility allowance such as SUA, Limited Utility Allowance (LUA) or Telephone Utility Allowance (TUA), if applicable.

Note: The homeless shelter deduction is always deducted from the net income when determining eligibility and allotment, refer to Section 63-254 for more information.

2. Vehicle Expenses

HHs living in a vehicle who are responsible for paying reasonably anticipated or reoccurring expenses on it, may claim these as a shelter expense. A vehicle expense that occurs less frequently than monthly may be averaged over the months in which it is intended to cover. Vehicle expenses include, but are not limited to:

- Vehicle payments.
- Collision and comprehensive insurance premiums (insurance that covers the vehicle itself). Liability and medical insurance premiums are not allowable shelter costs.
- The cost of overnight parking and camping fees.

- Maintenance expenses.

Note: The cost of fuel, such as gasoline or diesel, to operate, heat or cool a vehicle, is not an allowable shelter or utility expense.

3. Verification

Accept the shelter expenses reported by the HH verbally or on a signed application, Eligibility Status Report (SAR 7), or application for recertification without requesting additional verification. Only request verification if the shelter expenses are questionable and narrate in the case record why the information reported is questionable. If the HH is reporting vehicle insurance premiums as a vehicle expense, clarify the portion paid for collision or comprehensive coverage, since the only portion of the premium that is considered for shelter expense purposes is the insurance on the vehicle itself.

The following examples demonstrate how to determine which deductions would be most beneficial to the unhoused HH:

Example:	
Scenario	An unhoused HH consists of husband and wife, neither is elderly or disabled (E/D). The wife receives $800 per month as a cash gift. The HH lives in their car and pays $300 per month for the car loan. They also pay $200 per month for car insurance, of which $100 of the insurance is for liability, $100 is for comprehensive coverage. The HH does not have any utility expenses.
Outcome	If the HH was given the homeless shelter deduction, they would be eligible to $384 per month in CalFresh benefits. If the vehicle expense of $400 per month ($300 car payment + $100 comprehensive insurance) is used as the shelter expense, the HH would be eligible to $362 per month in CalFresh benefits. In this case we would apply the homeless shelter deduction since that would be the most beneficial to the HH. The HH is not eligible to SUAS which allows the SUA deduction to be claimed due to not having an E/D HH member.

Example:	
Scenario	An unhoused HH consists of disabled mother and 10-year-old son. Mom receives $1000 per month in Social Security Disability Income (SSDI). The HH stays in a hotel 4 nights per month and pays $100 per night when staying at the hotel and pays for no utilities.
Outcome	If the HH was given the homeless shelter deduction, the HH would be eligible to $324 per month in CalFresh benefits. If the hotel expense of $400 per month is used as the shelter expense, the HH would be eligible to $273 per month in CalFresh benefits. If the hotel expense of $400 per month is used as the shelter expense, the HH may also claim a utility allowance. If the HH is issued the SUAS payment, it would entitle them to more benefits, making the HH eligible to $440 per month in CalFresh benefits.

	In this case we would use the actual shelter expense and issue the SUAS payment and allow the SUA deduction since that would be most beneficial to the HH.

Example:	
Scenario	An unhoused HH consists of single 30-year-old male. He receives $800 per month in SSDI. He lives at a homeless shelter and is responsible for paying $25 per month to stay there and pays for a telephone.
Outcome	If the HH is allowed the homeless shelter deduction, he is not allowed a utility allowance and would be eligible to $149 per month in CalFresh benefits. If the HH is given SUAS instead of the homeless shelter deduction, he would be eligible to $175 per month in CalFresh benefits. If the actual amount of $25 per month is claimed as the shelter expense, the HH may also claim a utility allowance. Since the HH pays for a telephone the HH is given the Telephone Utility Allowance (TUA) making him eligible to $98 per month in CalFresh benefits. If the HH is issued the SUAS payment instead of TUA, the HH would be entitled to more benefits. Therefore, if the actual amount of $25 per month is claimed as the shelter expense and the HH is issued the SUAS payment instead of TUA, he would be eligible to $183 per month in CalFresh benefits. In this case we would use the actual shelter expense and issue out SUAS allowing the SUA deduction since that would be most beneficial to the HH.

References:
All County Letter (ACL) 19-38, 25-68.
All County Information Notice (ACIN) I-18-07, I-73-04, I-43-03, I-15-23.
Manual of Policies and Procedures (MPP) 63-502.35, 63-502.36.
Code of Federal Regulations (CFR) 237.9(d)(6)(i).

Sunset Date:
This policy will be reviewed for continuance by 12/31/2028.

Approval for Release:

1/20/26
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